Board Pack · October 2026

HANGS Construction Services LLC · Fiscal year July 2026 to June 2027 · Prepared November 12, 2026 · DRAFT for the CFO's review and signature (BVA-8). Nothing has been sent. Invented demonstration data.

October contract revenue was **$253,592.00** against $439,000.00 budgeted, and the month closed with a net loss of **$145,506.32** against budgeted income of $22,502.00 ($128,706.32 after the proposed RC-01 correction). Most of the gap is Larch Hollow Pad 3, where unbid rock excavation turned the job into a loss that is booked in full. On signed work only, the year now looks like revenue of **$2,465,050.23** and a net loss of **$154,310.37**, against a budget of $3,477,000.00 and $101,796.00 of income: the budget's new work has not been won yet.

	Oct Budget	Oct Actual	Variance	YTD Budget	YTD Actual	Variance
Contract revenue	$439,000.00	$253,592.00	-$185,408.00	$1,507,000.00	$1,308,734.10	-$198,265.90
Gross profit	$48,865.00	-$82,389.42	-$131,254.42	$166,155.00	$59,906.35	-$106,248.65
Overhead	$26,363.00	$63,116.90	$36,753.90	$102,719.00	$139,326.90	$36,607.90
Net income (loss)	$22,502.00	-$145,506.32	-$168,008.32	$63,436.00	-$79,420.55	-$142,856.55
Gross margin	11.1%	-32.5%		11.0%	4.6%	

Variances over the threshold (more than 5% and $10,000.00)

Line	October	Year to Date	What the ledger shows
Contract revenue	-$185,408.00	-$198,265.90	Larch Hollow Pad 3 loss, no new award yet, Ridgecrest revenue held
Contract costs	-$54,153.58	-$92,017.25	Under on volume; over on margin at Larch Hollow Pad 3 and Ridgecrest
FLD equipment repairs	$12,060.00	$12,089.65	Excavator pump rebuild (possible capital item)
PRE software	$16,800.00	$16,800.00	Annual plan expensed when paid (RC-01 corrects)
GA professional fees	$10,740.00	$10,690.00	Lien rights review and collections letter, one-time

Full-year reforecast (BVA-6: signed work only)

	FY2027 Budget	Reforecast	Difference	Upside, unsigned
Contract revenue	$3,477,000.00	$2,465,050.23	-$1,011,949.77	$640,000.00
Gross profit	$393,205.00	$153,953.90	-$239,251.10	$73,600.00
Overhead	$291,409.00	$308,264.27	$16,855.27	
Net income (loss)	$101,796.00	-$154,310.37	-$256,106.37	$73,600.00

Before release: 4 items for a person

Correct Before Release · Annual Plan Expensed When Paid · TS-44817 · $16,800.00
Needs a Person · Explanation Not Supported · FLD 6200 · $11,850.00
Needs a Person · Unsigned Award in the Reforecast · P-0412 · $640,000.00
Follow Up · Revenue Held on an Unrevised Estimate · S-2607 · $38,000.00

CFO signature: _____ Date: _____ Draft, unsigned. Nothing has been posted or sent.

Variance Commentary for the CFO's Sign-Off

Each variance over the threshold, with the cause, whether it is timing or permanent, and its effect on the rest of the year. Each explanation was tested against the general ledger lines (BVA-5).

OPS · Contract revenue (4100, 4150)

Contract revenue was $253,592.00 against a budget of $439,000.00, $185,408.00 (42.2%) under. Larch Hollow Pad 3 (S-2610) earned $22,915.13 against $118,000.00: its estimate rose for rock excavation and a retaining wall that were not in the bid, which lowered its percent complete, and the whole estimated loss is booked (permanent); the $40,000.00 of new work budgeted to start in October has not been awarded (permanent for the month); Ridgecrest (S-2607) earned nothing against $38,000.00 because its estimate was not revised and revenue is held at September's level (timing, an open item). The other jobs together were $12,323.13 under.

Year to date, contract revenue is $1,308,734.10 against $1,507,000.00, $198,265.90 (13.2%) under. July to September ran $12,857.90 under, so October explains 93% of the gap.

Explanation: supported by the ledger. Owner's note (Director of Operations): “Revenue is under budget for three reasons. Larch Hollow Pad 3 hit rock at the driveway cut: the excavation and a retaining wall were not in the bid, so the estimate went up and the job's percent complete, and with it earned revenue, went down; the whole loss is booked. Ridgecrest's revenue is held until its project manager updates the estimate. And the new work we budgeted to start in October has not been awarded yet. On the other side, Bellhaven is earning more than its bid margin now that the signed CO-03 controls work is in the contract.”

OPS · Contract costs (5100, 5150)

Contract costs were $335,981.42 against $390,135.00, $54,153.58 under budget, but only because volume was down. At October's actual revenue the flex budget allows $225,239.41; actual costs are $110,742.01 over it. That margin variance is S-2610 ($96,432.38, including the $5,791.42 loss provision) and S-2607 ($21,350.00), partly offset by S-2601 (+$8,244.63).

Year to date, contract costs are $1,248,827.75 against $1,340,845.00, $92,017.25 under budget; flexed to actual revenue they should be $1,164,102.99, so the year's margin variance is $84,724.76 unfavorable and the volume variance $21,523.89 unfavorable.

Explanation: supported by the ledger. Owner's note (Director of Operations): “Costs are under budget because volume is under budget. On a like-for-like basis Larch Hollow Pad 3 is well over, for the site work above.”

FLD · 6200 Equipment Repairs and Maintenance

Equipment Repairs and Maintenance were $13,660.00 against $1,600.00. One invoice, the $11,850.00 excavator hydraulic pump rebuild (Tamarack Equipment Service 2291), is 98% of the variance; routine repairs were $1,810.00, $210.00 over budget. The department's note cites fuel and a heavier schedule; the ledger does not support it (fuel was $1,984.85 under budget for October; contract volume was 42.2% under budget). The rebuild may be a capital item under BVA-7; if the Controller capitalizes it, October repairs fall to $1,810.00. One-time; no change to the rest of the year.

Year to date $18,489.65 against $6,400.00, $12,089.65 over: the October item above; July to September were $29.65 over budget.

Explanation: not supported by the ledger; returned to its owner. Owner's note (Equipment Manager): “Fuel and repair costs ran higher with the heavier site work schedule in October.”

PRE · 6400 Software and Subscriptions

Software and Subscriptions was $17,600.00 against $800.00. $16,800.00 of it is the annual estimating software plan for November 2026 to October 2027, paid in October and expensed in full; it belongs in prepaid expenses and is expensed at $1,400.00 a month from November. RC-01 proposes the correction. Corrected, October is $800.00, on budget. From November the plan costs $600.00 a month more than budgeted, $4,800.00 for the rest of the year.

Year to date $20,000.00 against $3,200.00, $16,800.00 over: the October item above; July to September were on budget.

Explanation: supported by the ledger. Owner's note (Chief Estimator): “We renewed the estimating and takeoff software on the annual plan in October; the annual plan is cheaper per month than the monthly plan it replaces.”

GA · 6450 Professional Fees

Professional Fees were $11,340.00 against $600.00: lien rights review and collections letter, Orchard Gate (S-2598), $10,740.00 (Pellam Kirsch LLP). One-time; a smaller follow-up, $5,000.00 over November and December, is in the reforecast.

Year to date $14,590.00 against $3,900.00, $10,690.00 over: the October item above; July to September were $50.00 under budget.

Explanation: supported by the ledger. Owner's note (Controller): “Counsel reviewed our lien rights and the collections letter on the Orchard Gate clubhouse (S-2598), which is past 90 days. One-time; a smaller follow-up is expected in November and December.”

Jobs over the threshold

S-2607 Ridgecrest, revenue, October, -$38,000.00. October revenue $0.00 against $38,000.00. Revenue held on an unrevised estimate (open item).

S-2607 Ridgecrest, gross profit, October, -$25,720.00. October gross profit -$21,350.00 against $4,370.00: volume $4,370.00 unfavorable, margin $21,350.00 unfavorable. Revenue held on an unrevised estimate (open item).

S-2610 Larch Hollow Pad 3, revenue, October, -$95,084.87. October revenue $22,915.13 against $118,000.00. Loss contract; estimated total cost $1,103,150.00 against a $1,085,000.00 contract.

S-2610 Larch Hollow Pad 3, gross profit, October, -$106,416.29. October gross profit -$94,026.29 against $12,390.00: volume $9,983.91 unfavorable, margin $96,432.38 unfavorable. Loss contract; estimated total cost $1,103,150.00 against a $1,085,000.00 contract.

NEW New work, revenue, October, -$40,000.00. October revenue $0.00 against $40,000.00. No new award started; the budget's new-work line has no contract behind it yet.

S-2601 Bellhaven, gross profit, year to date, $20,804.30. Year to date gross profit $90,874.30 against $70,070.00: volume $107.33 unfavorable, margin $20,911.63 favorable. Running above its bid margin with the signed CO-03 controls work in the contract.

S-2607 Ridgecrest, revenue, year to date, -$35,170.00. Year to date revenue $112,830.00 against $148,000.00. Revenue held on an unrevised estimate (open item).

S-2607 Ridgecrest, gross profit, year to date, -$23,420.00. Year to date gross profit -$6,400.00 against $17,020.00: volume $4,044.55 unfavorable, margin $19,375.45 unfavorable. Revenue held on an unrevised estimate (open item).

S-2610 Larch Hollow Pad 3, revenue, year to date, -$128,242.77. Year to date revenue $229,757.23 against $358,000.00. Loss contract; estimated total cost $1,103,150.00 against a $1,085,000.00 contract.

S-2610 Larch Hollow Pad 3, gross profit, year to date, -$103,380.52. Year to date gross profit -$65,790.52 against $37,590.00: volume $13,465.49 unfavorable, margin $89,915.03 unfavorable. Loss contract; estimated total cost $1,103,150.00 against a $1,085,000.00 contract.

NEW New work, revenue, year to date, -$40,000.00. Year to date revenue $0.00 against $40,000.00. No new award started; the budget's new-work line has no contract behind it yet.

Budget vs Actual by Department

Line	Oct Budget	Oct Actual	Variance	YTD Budget	YTD Actual	Variance
Contract revenue (4100, 4150)	$439,000.00	$253,592.00	-$185,408.00	$1,507,000.00	$1,308,734.10	-$198,265.90
Contract costs (5100, 5150)	$390,135.00	$335,981.42	-$54,153.58	$1,340,845.00	$1,248,827.75	-$92,017.25
FLD 6200 Equipment Repairs and Maintenance	$1,600.00	$13,660.00	$12,060.00	$6,400.00	$18,489.65	$12,089.65
FLD 6210 Fuel	$4,829.00	$2,844.15	-$1,984.85	$16,577.00	$14,549.80	-$2,027.20
FLD 6220 Small Tools and Supplies	$2,634.00	$1,671.25	-$962.75	$9,042.00	$8,049.20	-$992.80
FLD 6600 Vehicles and Travel	$900.00	$918.45	$18.45	$3,600.00	$3,595.10	-$4.90
PRE 6100 Salaries and Wages	$4,600.00	$4,600.00	$0.00	$18,400.00	$18,400.00	$0.00
PRE 6150 Payroll Taxes and Benefits	$1,250.00	$1,261.80	$11.80	$5,000.00	$4,988.95	-$11.05
PRE 6400 Software and Subscriptions	$800.00	$17,600.00	$16,800.00	$3,200.00	$20,000.00	$16,800.00
BD 6500 Marketing and Business Development	$900.00	$888.75	-$11.25	$3,600.00	$3,566.95	-$33.05
BD 6600 Vehicles and Travel	$300.00	$341.60	$41.60	$1,200.00	$1,217.85	$17.85
GA 6100 Salaries and Wages	$3,900.00	$3,900.00	$0.00	$15,600.00	$15,600.00	$0.00
GA 6150 Payroll Taxes and Benefits	$1,050.00	$1,057.95	$7.95	$4,200.00	$4,220.30	$20.30
GA 6300 Rent and Occupancy	$1,300.00	$1,300.00	$0.00	$5,200.00	$5,200.00	$0.00
GA 6320 Insurance	$1,000.00	$1,000.00	$0.00	$4,000.00	$4,000.00	$0.00
GA 6400 Software and Subscriptions	$300.00	$309.85	$9.85	$1,200.00	$1,225.45	$25.45
GA 6450 Professional Fees	$600.00	$11,340.00	$10,740.00	$3,900.00	$14,590.00	$10,690.00
GA 6700 Office and General	$400.00	$423.10	$23.10	$1,600.00	$1,633.65	$33.65
Gross profit	$48,865.00	-$82,389.42	-$131,254.42	$166,155.00	$59,906.35	-$106,248.65
Overhead	$26,363.00	$63,116.90	$36,753.90	$102,719.00	$139,326.90	$36,607.90
Net income (loss)	**$22,502.00**	**-$145,506.32**	**-$168,008.32**	**$63,436.00**	**-$79,420.55**	**-$142,856.55**

By Job, With the Flex Budget

Job	Oct Revenue	Budget	Oct GP	Budget GP	Volume	Margin
S-2598 Orchard	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00
S-2593 Calder	$5,165.50	$9,000.00	$2,125.50	$945.00	-$402.62	$1,583.12
S-2601 Bellhaven	$165,724.30	$172,000.00	$26,474.30	$18,920.00	-$690.33	$8,244.63
S-2604 Marlowe	$59,787.07	$62,000.00	$4,387.07	$7,440.00	-$265.55	-$2,787.38
S-2607 Ridgecrest	$0.00	$38,000.00	-$21,350.00	$4,370.00	-$4,370.00	-$21,350.00
S-2610 Larch Hollow Pad 3	$22,915.13	$118,000.00	-$94,026.29	$12,390.00	-$9,983.91	-$96,432.38
NEW New work	$0.00	$40,000.00	$0.00	$4,800.00	-$4,800.00	$0.00
Total	**$253,592.00**	**$439,000.00**	**-$82,389.42**	**$48,865.00**	**-$20,512.41**	**-$110,742.01**

Volume variance: gross profit the budget's margins would have earned on actual revenue, less budget. Margin variance: actual less that. Fuel and small tools flexed to actual revenue are within $204.34 of actual.

The General Ledger Lines Behind the Largest Variances

Job S-2610 contract costs · variance -$96,432.38

Date	Reference · Party · Description	Amount
10/08	SC-2610 · Fernhollow Site Services · Rock excavation and retaining wall, driveway cut	$46,800.00
10/14	SC-2615 · Tallow Creek Framing · Building framing, pay app 4	$22,600.00
10/31	SC-2622 · Job cost ledger · SC-2622, invoice SFC-1184, moved from job S-2601	$18,750.00
10/20	SC-2623 · Quarry Bend Plumbing · Plumbing rough-in	$10,800.00
10/21	SC-2624 · Marrow Lane Electric · Electrical rough-in	$6,200.00
10/23	PR-1023 · Brookline Payroll Services · Superintendent, October	$6,000.00
10/31	WIP-1031 · Job cost ledger · Accrue the rest of the estimated loss, $18,150.00 in all	$5,791.42
	October total	**$116,941.42**

Job S-2607 contract costs · variance -$21,350.00

Date	Reference · Party · Description	Amount
10/15	SC-2616 · Corbel Interiors · Exam room walls, pay app 3	$11,350.00
10/19	SC-2618 · Ironleaf Mechanical · Exhaust and supply ductwork	$6,000.00
10/23	PR-1023 · Brookline Payroll Services · Superintendent, October	$4,000.00
	October total	**$21,350.00**

PRE 6400 Software and Subscriptions · variance $16,800.00

Date	Reference · Party · Description	Amount
10/27	TS-44817 · Tallyset Software · Estimating and takeoff software, annual plan	$16,800.00
10/01	TS-44690 · Tallyset Software · Estimating and takeoff software, monthly plan, October	$800.00
	October total	**$17,600.00**

FLD 6200 Equipment Repairs and Maintenance · variance $12,060.00

Date	Reference · Party · Description	Amount
10/14	2291 · Tamarack Equipment Service · Excavator hydraulic pump rebuild, unit EX-04	$11,850.00
10/07	TES-2264 · Tamarack Equipment Service · Skid steer 500-hour service	$1,265.80
10/21	BT-8812 · Brightline Trailer Repair · Equipment trailer brake repair	$544.20
	October total	**$13,660.00**

GA 6450 Professional Fees · variance $10,740.00

Date	Reference · Party · Description	Amount
10/30	PK-0918 · Pellam Kirsch LLP · Lien rights review and collections letter, Orchard Gate (S-2598)	$10,740.00
10/31	HL-1031 · Harbor Ledger Support · Accounting system support, October	$600.00
	October total	**$11,340.00**

Reforecast, November 2026 to June 2027 (BVA-6)

Line	FY Budget	Jul-Oct Actual	Nov-Jun	Full Year	Difference
S-2598 Orchard revenue	$20,000.00	$17,500.00	$0.00	$17,500.00	-$2,500.00
S-2593 Calder revenue	$67,000.00	$66,415.50	$0.00	$66,415.50	-$584.50
S-2601 Bellhaven revenue	$967,000.00	$636,024.30	$249,179.08	$885,203.38	-$81,796.62
S-2604 Marlowe revenue	$317,000.00	$246,207.07	$67,530.58	$313,737.65	-$3,262.35
S-2607 Ridgecrest revenue	$218,000.00	$112,830.00	$81,397.89	$194,227.89	-$23,772.11
S-2610 Larch Hollow Pad 3 revenue	$738,000.00	$229,757.23	$346,208.58	$575,965.81	-$162,034.19
S-2614 Halvorsen Dental Lab Fit-Out (signed)	$0.00	$0.00	$412,000.00	$412,000.00	$412,000.00
New work, not yet awarded	$1,150,000.00	$0.00	$0.00	$0.00	-$1,150,000.00
Contract revenue	$3,477,000.00	$1,308,734.10	$1,156,316.13	$2,465,050.23	-$1,011,949.77
Gross profit	$393,205.00	$59,906.35	$94,047.55	$153,953.90	-$239,251.10
Overhead, with RC-01	$291,409.00	$122,526.90	$185,737.37	$308,264.27	$16,855.27
Net income (loss)	**$101,796.00**	**-$62,620.55**	**-$91,689.82**	**-$154,310.37**	**-$256,106.37**

Backlog is each signed job's contract value less revenue earned to date, as the project managers schedule it, at the current estimate. Larch Hollow Pad 3's remaining revenue carries no gross profit because its whole loss is booked. Overhead is the budget with the known changes: PRE 6400 estimating software on the annual plan: $1,400.00 a month amortized, against $800.00 budgeted, $600.00 a month November to June; GA 6320 insurance renewal January 1 at 18% over the expiring premium, $180.00 a month January to June; GA 6450 counsel's follow-up on the Orchard Gate collections, $2,500.00 a month November to December.

Upside not included: Alder Crossing Medical Office Tenant Improvement, $640,000.00 of revenue and $73,600.00 of gross profit, status “Verbal award; contract not signed”.

By month

Dollars	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Total
Revenue	260,000.00	273,730.58	278,576.97	179,208.58	103,000.00	61,800.00	0.00	0.00	1,156,316.13
Gross profit	19,034.50	20,917.46	21,959.59	12,360.00	12,360.00	7,416.00	0.00	0.00	94,047.55
Overhead	26,420.00	26,653.42	24,415.81	22,726.54	25,431.00	20,730.60	19,680.00	19,680.00	185,737.37
Net income	**-7,385.50**	**-5,735.96**	**-2,456.22**	**-10,366.54**	**-13,071.00**	**-13,314.60**	**-19,680.00**	**-19,680.00**	**-91,689.82**

Proposed Correcting Entry (Not Posted)

Entry	Account	Debit	Credit	Support
RC-01	1350 Prepaid Expenses	$16,800.00		Invoice TS-44817; GL AP-1027
	6400 Software and Subscriptions		$16,800.00	

Correct Before Release

Annual Plan Expensed When Paid · TS-44817 · $16,800.00

BVA-7 Corrections (Budget and Variance Policy page 3): “A posting error found in the review, such as a prepayment expensed when paid, is proposed as a correcting entry for the Controller, and the report shows the corrected figure beside the booked one. An outlay over $5,000 that extends an asset's life is raised with the Controller as a possible capital item.”

BVA-5 Explanations (Budget and Variance Policy page 2): “Each line owner explains the cause in plain English, says whether it is timing or permanent, and gives its effect on the rest of the year. Finance tests every explanation against the general ledger lines; an explanation the ledger does not support goes back to its owner and the commentary states what the ledger shows.”

PRE software is $17,600.00 for October against a $800.00 budget. The chief estimator's note is right that the plan was renewed, but the whole $16,800.00 covers November 2026 to October 2027: none of it is an October cost. Under BVA-7, RC-01 moves it to 1350 Prepaid Expenses; from November it is expensed at $1,400.00 a month. Corrected, October software is $800.00, on budget, and October's net loss is $16,800.00 smaller. The reforecast carries the annual plan at $1,400.00 a month, $600.00 over the budget's $800.00.

Proposed entry RC-01, not posted: Move the estimating and takeoff annual plan, November 1, 2026 to October 31, 2027, from software expense to prepaid expenses. Dr 1350 Prepaid Expenses $16,800.00; Cr 6400 Software and Subscriptions $16,800.00. Reverses: No.

Follow-up: Controller approves and posts RC-01 before the board pack is released (Controller). Status: Open.

Needs a Person

Explanation Not Supported · FLD 6200 · $11,850.00

BVA-5 Explanations (Budget and Variance Policy page 2): “Each line owner explains the cause in plain English, says whether it is timing or permanent, and gives its effect on the rest of the year. Finance tests every explanation against the general ledger lines; an explanation the ledger does not support goes back to its owner and the commentary states what the ledger shows.”

BVA-7 Corrections (Budget and Variance Policy page 3): “A posting error found in the review, such as a prepayment expensed when paid, is proposed as a correcting entry for the Controller, and the report shows the corrected figure beside the booked one. An outlay over $5,000 that extends an asset's life is raised with the Controller as a possible capital item.”

October repairs are $13,660.00 against $1,600.00. The equipment manager's note says fuel and repair costs ran higher with a heavier site schedule. The ledger does not support it: fuel was $1,984.85 under budget for October; contract volume was 42.2% under budget. One line is 98% of the variance: Tamarack Equipment Service invoice 2291, excavator hydraulic pump rebuild, unit EX-04, $11,850.00. Without it, repairs were $1,810.00, $210.00 over budget. Under BVA-5 the note goes back to its owner and the commentary says what the ledger shows. Under BVA-7 the rebuild is over $5,000.00 and the invoice says it extends the unit's life by about three years, so it is raised with the Controller as a possible capital item; no entry is proposed until the Controller decides.

Follow-up: Equipment Manager revises the note; Controller decides whether invoice 2291 is capitalized (Controller). Status: Open.

Unsigned Award in the Reforecast · P-0412 · $640,000.00

BVA-6 Reforecast (Budget and Variance Policy page 3): “The reforecast is the actual year to date plus the rest of the year: backlog on signed contracts as the project managers schedule it at each job's current

estimate, new work only under a signed contract, overhead at budget adjusted for the known changes in the reforecast inputs, and variable costs at the budget rates. Work without a signed contract is shown separately as upside and is not in the reforecast."

The business development manager's reforecast carries Alder Crossing Medical Office Tenant Improvement for Alder Crossing Medical Group LLC at $640,000.00 of revenue from January to May, status "Verbal award; contract not signed". BVA-6 admits new work only under a signed contract, so this reforecast leaves it out and shows it as upside: $640,000.00 of revenue and $73,600.00 of gross profit at its 11.5% estimated margin. With it, full-year revenue would be $3,105,050.23 instead of $2,465,050.23. Halvorsen Dental Lab Fit-Out ($412,000.00), signed October 28, 2026, is in. If the contract is signed before the board meets, the CFO can move it into the reforecast.

Follow-up: Business Development Manager confirms the signing date for Alder Crossing Medical Office Tenant Improvement (CFO). Status: Open.

Follow Up

Revenue Held on an Unrevised Estimate · S-2607 · $38,000.00

BVA-5 Explanations (Budget and Variance Policy page 2): "Each line owner explains the cause in plain English, says whether it is timing or permanent, and gives its effect on the rest of the year. Finance tests every explanation against the general ledger lines; an explanation the ledger does not support goes back to its owner and the commentary states what the ledger shows."

BVA-6 Reforecast (Budget and Variance Policy page 3): "The reforecast is the actual year to date plus the rest of the year: backlog on signed contracts as the project managers schedule it at each job's current estimate, new work only under a signed contract, overhead at budget adjusted for the known changes in the reforecast inputs, and variable costs at the budget rates. Work without a signed contract is shown separately as upside and is not in the reforecast."

The approved WIP schedule holds S-2607's earned revenue at September's level because its project manager did not revise the estimate to complete for October, while $21,350.00 of October cost went in. So October shows a $21,350.00 gross loss on the job, and its $38,000.00 revenue shortfall is timing, not lost work, until the estimate is revised. The reforecast uses the same unrevised estimate: $81,397.89 of backlog at a $72,000.00 cost to complete, $9,397.89 of gross profit for the rest of the year. The CFO should not sign the job's numbers as final until the project manager dates a new estimate (WIP-4).

Follow-up: Project manager revises and dates the S-2607 estimate; finance reruns the job's October revenue and reforecast (Director of Operations). Status: Open.

Open Items and Sign-Off

4 items above need a person before the board pack is released. RC-01 stays proposed until the Controller posts it. The commentary is a draft for the CFO, who may change it. Nothing has been posted or sent, and this memo is not a sign-off.

Prepared by: F1 Finance Accounting Machine (draft, unsigned)
Reviewed and approved by: _____ CFO · Date: _____